

Company registration number 05656968 (England and Wales)

ARK DATA CENTRES LIMITED

ANNUAL REPORT AND AUDITED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2025

ARK DATA CENTRES LIMITED

COMPANY INFORMATION

Directors	A J Pettit H T Owen D McDonald Lord J Evans A D Garvin I S Perryment R P Silvester
Secretary	Dr P T Singh
Company number	05656968
Registered office	Spring Park Westwells Road Hawthorn Corsham Wiltshire SN13 9GB
Independent auditors	PricewaterhouseCoopers CI LLP 37 Esplanade St Helier Jersey JE1 4XA

ARK DATA CENTRES LIMITED

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ARK DATA CENTRES LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2025

The directors present their strategic report for the year ended 30 June 2025.

Principal activities

The principal activity of the company is the design, construction and operation of data centres and the provision of related services.

Business review

Through its related undertakings, Ark Data Centres Limited ("the company") owns and operates data centre campuses at Cody Park, Spring Park and Meridian Park:

- Ark Estates Cody Park Limited owns the Cody Park site, which had 48.78 MW (2024: 48.78 MW) of built capacity as of 30 June 2025, split across 5 buildings. In addition, 800kW of further capacity is under construction.
- Ark Estates Spring Park Limited owns the Spring Park site, which had 41.68 MW (2023: 41.68 MW) of built capacity as of 30 June 2025, split across 5 buildings, with a further 13.5MW under construction.
- Ark A9 GP Limited owns the A9 building, which has a built capacity of 1.6MW (2024: 1.6MW).
- Ark Estates Enfield Limited owns Meridian Park, which has a built capacity of 16.36 MW (2024: 16.36 MW).

Key performance indicators

Financial indicators

The Board of Directors are pleased to report the following financial results:

	2025 (£)	2024 (£)	Change (£)	% Change
Turnover	257,640,619	226,537,929	31,102,690	+13.73%
Gross Profit	36,436,494	23,503,132	12,933,362	+55.03%
Operating Profit/(Loss)	4,102,054	(9,250,909)	13,352,963	+144.34%
Profit/(Loss) for Year	6,037,222	(7,347,618)	13,384,840	+182.17%
Net Assets	23,946,959	17,909,737	6,037,222	+33.71%

Ark Data Centres Limited owns 74.9% of the ordinary share capital of Crown Hosting Data Centres Limited ("Crown Hosting"). Crown Hosting is a joint venture between Ark Data Centres Limited and The Minister for the Cabinet Office and operates a public sector framework for the procurement of data centre services.

Non-financial indicators

Alongside the financial performance, the key performance indicators of the Company include:

- MW capacity (built, contracted and available)
- contract term
- build costs
- delivering in accordance with build programmes
- maintaining operational excellence
- stakeholder (customer and supplier) satisfaction scores

In addition, the wider "Ark group" (Ark Capital Partners 1 LP Inc and its subsidiaries) will continue to build out new facilities on its existing sites, and through its related undertakings at additional sites in and around London – Union Park, Longcross Park and Alliance Park – to meet the growing demand for colocation and cloud data centres.

The business plan of the Company is built around a long-term strategy and significant progress has been made during the year to 30 June 2025. During the current reporting period the Company has secured new long-term contracts with customers from both public and private sectors across multiple industries including UK Government, Financial Services, Telecommunications, Cloud Providers and IT. The sales pipeline remains strong and further growth is expected through the Company's existing customers, framework agreements and new customers. The Board of Directors believe that the Company's position within the marketplace remains strong, and we look forward to further expansion in 2026.

ARK DATA CENTRES LIMITED

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

Principal risk, uncertainties and dependencies

Principal risks faced by the Company are identified and monitored through a regular process that is reviewed by the Senior Leadership Team and presented to the Board of Directors. Principal risks include, but are not limited to:

- Operational risks from a power or cooling outage or a security breach. The Company places a primary focus on preventative measures and controls to address these risks through its design and construction of the facilities and operation of robust accredited processes and regular maintenance programmes. Additionally, the Company undertakes regular exercises, involving our employees, customers and supply chain, across multiple scenarios to test the application and robustness of its procedures.
- Performance in an increasingly competitive marketplace is continually monitored. The Company engages proactively with its customers, both existing and prospective, to understand their requirements and has continuously progressed innovation in data centre design and construction to meet those needs and drive efficiencies.
- Uncertainty of current economic conditions may impact supply and/or development arrangements, although this is largely mitigated by entering into fixed priced contracts for the construction of the data centres and ensuring critical supplies are available when needed.

The Company manages these risks on an ongoing basis, and the Board of Directors believe that the Company's offering within the marketplace remains strong, and that it is well positioned to continue its growth.

Post balance sheet events

No events have occurred since the balance sheet date which significantly affect the Company.

STATEMENT IN ACCORDANCE WITH SECTION 172 OF THE COMPANIES ACT 2006

The Directors are required to make a statement which describes how they have acted in accordance with their duties to promote the success of the company for the benefits of the members as a whole. These duties are set out in Section 172(1) of the Companies Act 2006 and are summarised below along with the actions undertaken by the Board.

The likely consequences of any decision in the long-term

The Directors insist on high operating standards and fiscal discipline and routinely engage with management and employees of the company to understand the underlying issues within the organisation. Additionally, the Board looks outside the organisation at macro factors affecting the business. The Directors consider all known facts when developing strategic decisions and long-term plans, taking into account their likely consequences for the Company. The Company has a well-established governance structure, and all key decisions are made in accordance with that process and, where required, are approved by the ultimate controlling party (Note 22).

The interests of the company's employees

The Directors and management are committed to the interests and well-being of its employees and undertakes frequent dialogue with all employees to ensure transparency and inclusion. In August 2023, Ark Data Centres Limited was awarded platinum accreditation, for the third time, against the Investors in People Standard, demonstrating their commitment to high performance through good people management. Investors in People is the international standard for people management, defining what it takes to lead, support and manage people effectively to achieve sustainable results.

The need to foster the company's business relationships with suppliers, customers, and others

The company's relationships with its customers is fundamental to the success of the business. We develop long-term relationships with our customers, engaging in frequent dialogue to discuss performance against our obligations and listen to their needs and plans to deliver world class services for their critical infrastructure.

The Company has developed strong partnerships with its suppliers to maintain relationships that are collaborative and mutually beneficial to all parties. We continue to work with partners who can deliver market leading products and services at high standards whilst developing innovation and efficiencies.

Engagement with debt holders and shareholders occur on an ongoing basis and as questions arise to ensure they are provided with timely and informative communications.

ARK DATA CENTRES LIMITED

STRATEGIC REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

The impact of the company's operations on the community and the environment

The availability and resilience of the data centres is fundamental to delivering services to customers. The operations team work closely with customers and partners to define, document, test and implement best practice to enhance the efficiency and operations of the data centre facilities. Operational excellence is pivotal to the business and the data centres are certified by the British Standards Institute for Quality Management, Business Continuity, Information Security, Environmental Management and Energy Management Systems.

The company's core values are fundamental to the success of the business and are at the heart of everything we do. The Company considers the impact of its business operations and decisions on the community and the environment and directly engages with relevant parties where appropriate.

The desirability of the company maintaining a reputation for high standard of business conduct

Integrity is a core value for the company's Directors and employees. We support and provide guidance to all staff so that they do the right thing, behave in an ethical manner and comply with all applicable legal or regulatory requirements in accordance with the company's policies including, but not limited to, Anti-bribery and Corruption, Modern Slavery, Environmental and Energy Management. We also ensure that the company's ISO management systems are fit for purpose, well maintained and appropriately controlled, audited, and improved to enable the Company to meet its contractual, certification, regulatory and legislative requirements.

The need to act fairly between members of the company

The Board recognises its responsibilities under section 172 as outlined above and has acted at all times in a way consistent with promoting the success of the Company with regard to all stakeholders.

On behalf of the board

H T Owen
Director

5 December 2025

ARK DATA CENTRES LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2025

The directors present their annual report and audited financial statements for the year ended 30 June 2025.

Results and dividends

The results for the year are set out on page 15.

No ordinary dividends were paid. The directors do not recommend payment of a dividend for the year (2024: nil).

Directors

The directors who held office during the year and up to the date of signature of the financial statements were as follows:

A J Pettit
H T Owen
D McDonald
Lord J Evans
A D Garvin
I S Perryment
R P Silvester

Qualifying third party indemnity provisions

As permitted by the Articles of Association, the directors have the benefit of an indemnity which is a qualifying third party indemnity provision, as defined by Section 234 of the Companies Act 2006. The indemnity was in force throughout the last financial year and is currently in force. The company also purchased and maintained throughout the financial year and is currently in place, Directors' and Officers' liability insurance in respect of itself and its directors.

Going concern

The directors have prepared the financial statements on a going concern basis.

At 30 June 2025 the Company had net assets of £23,946,959 (2024: £17,909,737) and net current assets of £15,962,590 (2024: £8,052,626). The directors have prepared cash flow forecasts which include relevant downside sensitivities and demonstrate that the Company has access to sufficient liquidity to sustain its operations for a period of at least 12 months from the date of approval of the financial statements. The Company also has access to a long-term working capital facility provided by the ultimate parent undertaking (see Note 22). As at 30 June 2025, Ark Data Centres Limited had no outstanding liabilities under this facility. The access to liquidity via its ultimate parent undertaking ensures that the Company will be able to continue to finance its liabilities as they fall due.

Independent auditors

The auditors PricewaterhouseCoopers CI LLP, have indicated their willingness to continue in office and a resolution concerning their re-appointment will be proposed at the General Meeting

ARK DATA CENTRES LIMITED

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

Energy and carbon report

Ark recognises the impact of climate change, and our focus has always been on sustainable data centre development without any compromise to the availability or security required by our customers.

Our commitment to sustainable stewardship is demonstrated by:

- Continuing the "Lessons Learned" process and new technology review after all major projects.
- Working with Climate Neutral Data Centre Pact (CNDP), techUK and the Major Energy Users Council (MEUC) to promote best practice and appropriate target setting to achieve the appropriate UN Sustainable Development Goals.
- Complying with all legal and other requirements appropriate to Ark's resource consumption, efficiency targets and reporting requirements (Energy Efficiency Directive (EED), Climate Change Agreements (CCA) etc).
- Procuring 100% Renewable or Carbon-Free Energy where possible - through Carbon-free or Renewable Certificates (such as REGOs) up to 3 years ahead or via appropriate PPAs.
- Measuring and reporting our Power Usage Effectiveness improvements (PUE) against defined targets in line with CNDP initiatives and Green Loans, in accordance with BS EN 50600 and certified under ISO 50001.
- Measuring and reporting our Carbon Usage Effectiveness improvements (CUE) in line with GHG and SECR protocols, in accordance with BS EN 50600 and certified under ISO 14001. Reporting carbon emissions in our Carbon Reduction Plan in compliance with PPN 06/21.
- Maintaining our existing ISO 14001 (Environmental Management System) certification. The ISO 14001 Certificate and supporting Environmental Policy are published on the Ark website.
- Maintaining our existing ISO 50001 (Energy Management System) certification. The ISO 50001 Certificate and supporting Energy Management Policy are published on the Ark website.

Ark reports its annual operating energy and carbon usage by calendar year to align with the reporting requirements of our CCA, UKETS, Planning Obligations and EA Operating Permits. The information provided below is therefore for the years ended 31 December 2024 and 31 December 2023.

	2024 MWh	2023 MWh
<i>Energy consumption</i>		
Aggregate of total energy consumption in the year	280,597	239,803
Aggregate of IT energy consumption in the year	203,608	164,622
	2024 metric tonnes	2023 metric tonnes
<i>Emissions of CO2 equivalent</i>		
Scope 1 - direct emissions		
- Refrigerant (F-Gas) losses	2,340	2,345
- On site standby generation	6	6
	2,346	2,351
Scope 2 - indirect emissions		
- Electricity purchased (Market based)	12,325	226
Scope 3 - other indirect emissions		
- Business travel, employee commuting & homeworking, waste generated & upstream transportation	2,664	411
	17,335	2,988
Total gross emissions		
<i>Carbon efficiency metric</i>		
Carbon Usage Effectiveness (tonnesCO2e)/IT Consumption (MWh)	0.085	0.018

ARK DATA CENTRES LIMITED

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

In line with best practice Ark measures data centre performance in terms of PUE as the measure of energy effectiveness and CUE as the measure of carbon effectiveness in accordance with BS EN 50600. These relate to the Annual IT power consumption (MWh) of our customers' equipment.

Power Usage Effectiveness ("PUE")

Ark has measured and calculated PUE as recommended by the Green Grid since 2014 and now in accordance with BS EN 50600-4-2. Annual PUE targets for each campus have been set as part of our CCA and Green Loan Agreements. Ark continues to meet its PUE performance targets.

Carbon Emissions

Ark has measured Scope 1 and Scope 2 emissions since 2014, Scope 3 operating emissions have been measured since 2019. Previously, 2019 was the baseline year for the Carbon Reduction Plan (CRP) that Ark has implemented and reported on to meet the requirements of PPN06/21. In 2024, there was a base year recalculation to take into scope additional factors which have impacted Ark. Full details on carbon emissions are provided in the Ark Carbon Reduction Plan, which is published on the Ark website.

In 2019 Ark extended the scope of CO₂e emissions reporting to include:

- Scope 1 – All operational direct emissions from standby generation and refrigerant (F-Gas) losses.
- Scope 2 – Operational indirect emissions from purchased electricity, steam, heating and cooling.
- The following Scope 3 operational emissions:
 - Upstream transportation and distribution.
 - Waste generated in operations.
 - Business travel.
 - Employee commuting and homeworking.
 - Downstream transportation and distribution.

In 2023 Ark started measuring emissions from three additional Scope 3 categories:

- Purchased goods and services – water.
- Fuel- and energy-related activities (not included in Scope 1 or Scope 2).
- Upstream leased assets.

Measuring these additional categories was carried out for two main reasons:

- To assess the impact of additional categories on the current baseline plan.
- As the first step towards revising the baseline plan to include additional Scope 3 categories and additional data centre facilities when they become operational in 2024/2025.

These were measured in 2023, but the emissions generated were less than 3% of all 2023 emissions and less than 1.4% of the total base year (2019) emissions. On this basis the data was not considered material and there was no need to recalculate base year emissions for the 2023 reporting year. However, this work identified the need for a Policy on when and how to recalculate base year emissions in response to material business changes. In 2024, Ark drafted for use The Base Year Recalculation Policy thereby setting a new baseline reporting year.

The 2024 data collection and validation identified several changes that occurred in 2024 as well as changes that will occur in 2025:

- Since 2019 Ark has installed 66MW(IT) of additional data centre capacity at its three operating campuses. This is a 76% increase over the base year capacity and has resulted in a significant increase in the FGas inventories as well as an increase in back up generation capacity (source of Scope 1 emissions).
- In 2024 London Energy Limited (LEL), the primary supplier of energy to the Meridian Park data centre via a direct wire PPA from their Energy from Waste (EfW) plant installed a Continuous Emissions Monitoring System (CEMS) on the plant. This has provided a direct measure of CO₂e from the plant, which when combined with data on the fuel mix to the plant and the avoided emissions of sending general waste to landfill has allowed for a much more accurate and reliable measure of fossil CO₂e emissions from the plant. This has resulted in a significant change to the emissions factor from 0.0114 kgCO₂e/kWh to 0.3 kgCO₂e/kWh.

These changes have been tested against the Base Year Recalculation Policy and together these business developments have resulted in significant changes to Scope 1, Scope 2 and Scope 3 emissions equating to more than the 5% threshold identified in the Base Year Recalculation Policy. A base year recalculation using the 2024 data will therefore be required when reporting 2025 emissions.

ARK DATA CENTRES LIMITED

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

The greenhouse gas emissions inventory and data presented on page 5 have been measured, monitored and reported to comply with PPN06/21 in accordance with the Greenhouse Gas Protocol Corporate Accounting and Reporting Standard, GHG Protocol Scope 2 Guidance and GHG Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard. Targets for these metrics are set annually in advance; performance against them is measured, managed and reported all in accordance with the Ark Environmental Management System (certified to ISO 14001) and the Ark Energy Management System (certified to ISO 50001). The performance results are published annually.

Reference has also been made to the UK Government Environmental reporting guidelines and GHG conversions have been prepared using the UK Government conversion factors for company reporting of greenhouse gas emissions.

Scope 1, operational direct emissions on Ark campuses arise from two sources:

- Gas Oil (diesel)/Hydrotreated Vegetable Oil (HVO) for standby generators. In a normal year, GHG emissions are solely from the maintenance and testing of standby generators. Under normal maintenance operations, GHG emissions from the standby generators are very low due to the HVO fuel used and the limited running hours of the sets (typically less than 4 hours per year per generator set). However, if the backup generation was abnormally required for an extended period (e.g. a long-term electricity power failure), then associated GHG emissions would accumulate, but at a significantly lower rate than if gas oil was the fuel used for standby generation. Ark replaced all existing gas oil stocks for standby generation with hydrotreated vegetable oil (HVO) in a rolling replacement programme that was completed in April 2022. This reduces fossil GHG emissions from standby generation by circa 90-95%.
- F-Gas losses. These are fugitive emissions from FGas containing equipment such as air conditioning, caused by the unintended leakage of the refrigerant gas from the equipment. This is quantified by the amount of FGas refilled during equipment maintenance or replacement. Following the physical and operational modifications carried out in 2021 and 2022 Ark anticipates that the lowest practicable long term refrigerant loss is ~1% of the installed FGas on a site.

Scope 2, indirect emissions from purchased electricity on Ark campuses arise from two sources:

- Utility supplied electricity. Ark Data Centres procures 100% certificate-backed carbon-free renewable electricity from their energy suppliers.
- Direct wire Power Purchase Agreement (PPA) supplied electricity. From 2021, Meridian Park has benefitted from a direct wire PPA for electricity from the neighbouring Energy from Waste (EfW) plant operated by London Energy. As an EfW plant, the GHG emissions intensity of the purchased electricity is dependent on and varies with its waste fuel supply, for which an annual average kgCO₂e is calculated.

Scope 3, indirect operational emissions on Ark campuses are currently measured and reported annually from the following GHG emissions categories:

- Upstream transportation and distribution.
- Waste generated in operations.
- Business travel.
- Employee commuting and homeworking.
- Downstream transportation and distribution.

In addition to the above groups Ark started measuring and reporting the following additional scope 3 reporting groups in 2024:

- Purchased goods and services – water, wastewater and third-party operation and maintenance supplier
- Fuel and energy-related activities (not included in scope 1 or scope 2)
- Upstream leased assets
- Downstream leased assets

ARK DATA CENTRES LIMITED

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

Sustainability/energy efficient initiatives

Sustainability achievements

Security, Availability, Sustainability (SAS) has been Ark's mantra since 2008. In 2024 it is still SAS, but updated to Sustainability, Availability, Security. Sustainability is inherent in Ark's DNA with its commitment to continuous design development to improve operating efficiencies as reflected by the following achievements:

- Energy efficient plant (light fittings, fans, pumps, compressors, UPS systems, on site PV etc) specified and procured as standard.
- Use of distributed fuel storage system for standby generators reducing the volume of fuel stored on site by 30% over conventional bulk storage systems.
- First data centre company to deploy direct air free cooling at scale in the UK in 2011, driving design PUE from >1.65 to ~ 1.2 and continuing to evolve the technology.
- Procurement of 100% Carbon-free or Renewable electricity for operating facilities up to 3 years ahead through fully flexible supply contracts since 2017. Driving the continued installation of new renewable generation plant by the suppliers onto the national network for the benefit of all.
- Moving from LV standby generation to centralised HV standby generation in 2018, reducing installed standby generation capacity by 31% compared to equivalent LV systems.
- First data centre company in UK to completely replace all diesel for standby generators with Hydrotreated Vegetable Oil (HVO) in 2022, reducing fossil CO₂e emissions by >95%, NO_x emissions by ~ 17% and particulate emissions by ~ 29%.
- Baseline GHG Emissions (Scope 1, Scope 2 & Scope 3) reporting in 2019, identified FGas losses from standby cooling plant are Ark's biggest CO₂e emissions, by far. Based on this Ark replaced single port valves with dual port valves on all compressors in 2021 and 2022, reducing FGas losses in 2023 by 54% compared to the 2019 baseline, despite IT capacity more than doubling over the same period.
- BREEAM Certification across all Ark data centre sites.
- Introducing the Air Flow Management Policy and Airflow Usage Effectiveness Metric (AUE) in 2023 has demonstrated how improved airflow management drives higher delta T across the servers and so improves cooling efficiency, thereby lowering PUE and improving overall efficiency within a data room.
- Reducing the dependence on FGas in cooling system included in the Ark Design Standard from 2023 resulting in the current air-cooled designs which have eliminated the need for back-up mechanical cooling systems removing the need for FGas in data centre cooling.
- The installation of EV chargers to 20% of parking spaces at operational campuses completed in 2023.
- Introduction of the Ark Energy Measurement, Monitoring and Reporting Plan (EMMRP) which includes many automated processes enabling the early identification and rectification of unexpected electrical losses between system components.

Ark's focus on sustainable development from the beginning means there is little low hanging fruit for major improvements in how we operate. However, there is always scope to do better and Ark has a few process improvements and projects underway that could lead to further sustainability improvements and carbon reductions in future, as identified in each year's sustainability initiatives.

ARK DATA CENTRES LIMITED

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

Progress against 2024 initiatives

Ark's progress on achieving the 2024 Sustainability Initiatives is summarised below:

- Achieving the environmental management objectives (including CUE and Carbon Reduction) identified in our ISO 14001 Environmental Management System. – *Achieved.*
- Achieving the energy management objectives (Including PUE) identified in our ISO 50001 Energy Management System. – *Achieved.*
- Investigating and reducing unexpected energy losses identified by the EMMRP and other energy saving activities – *Achieved, resulting in : ~1,6945MWh/year.*
- Analysing the use of EV charging points, reviewing the pricing strategy for on-site charging and investigating opportunities/interest in EV salary sacrifice schemes, all aimed at reducing Scope 3 commuting emissions. - *Achieved, pricing strategy reviewed and adjusted to be competitive with public charging points, processes for measuring, monitoring and reporting EV charger use in place from mid-2024. 2025 will be the base year for assessing charger use.*
- Transparently reporting our annual progress towards Carbon Net Zero in line with GHG Protocols and SECR requirements. – *Partially achieved through this report and the supporting documentation, which have identified the need to rebase line the Carbon Plan.*
- Developing our Carbon Offset Strategy in anticipation that Offsets to achieve the Carbon Reduction Plan may be required from 2025 onwards. *On hold in 2024 following the change in the LEL carbon emissions factor and the future implications arising therefrom. To be addressed in 2025.*

Ark's commitments to sustainability 2025

Ark's ongoing commitment to Sustainability in 2025 will be demonstrated by:

- Achieving the environmental management objectives (including CUE and Carbon Reduction) identified in our ISO 14001 Environmental Management System.
- Achieving the energy management objectives (Including PUE) identified in our ISO 50001 Energy Management System.
- Developing and implementing a Carbon Measurement, Monitoring and Reporting Plan, like the EMMRP, using data collected from each of the above measurement, monitoring and reporting plans to simplify carbon and CUE reporting.
- Developing the Carbon Offset Strategy in anticipation that Offsets to achieve the Carbon Reduction Plan may be required from 2026 onwards.
- Transparently reporting our annual progress towards Carbon Net Zero in line with the Carbon Offset Strategy, GHG Protocols and SECR requirements.

ARK DATA CENTRES LIMITED

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

Statement of directors' responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland", and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- state whether applicable United Kingdom Accounting Standards, comprising FRS102, have been followed, subject to any material departures disclosed and explained in the financial statements;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities. The directors confirm that they have complied with these responsibilities.

Strategic report

The company has chosen in accordance with Companies Act 2006, s. 414C(11) to set out in the company's strategic report information required by Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008, Sch. 7 to be contained in the Directors' Report. It has done so in respect of the review of the business and the principal risks and uncertainties it faces.

Statement of disclosure to auditor

In the case of each director in office at the date the Directors' Report is approved:

- so far as the director is aware, there is no relevant audit information of which the company's auditors are unaware; and
- they have taken all the steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information.

On behalf of the board

H T Owen

Director

5 December 2025

Independent auditors' report to the members of Ark Data Centres Limited

Report on the audit of the financial statements

Opinion

In our opinion, Ark Data Centres Limited's financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2025 and of its profit and cash flows for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland", and applicable law); and
- have been prepared in accordance with the requirements of the Companies Act 2006.

We have audited the financial statements, included within the Annual Report and Audited Financial Statements (the "Annual Report"), which comprise: the balance sheet as at 30 June 2025; the statement of comprehensive income; the statement of changes in equity; the statement of cash flows for the year then ended; and the notes to the financial statements, which include a description of the significant accounting policies.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under ISAs (UK) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, which includes the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Conclusions relating to going concern

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

However, because not all future events or conditions can be predicted, this conclusion is not a guarantee as to the company's ability to continue as a going concern.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Strategic report and the Directors' report, we also considered whether the disclosures required by the UK Companies Act 2006 have been included.

Based on our work undertaken in the course of the audit, the Companies Act 2006 requires us also to report certain opinions and matters as described below.

Strategic report and Directors' Report

In our opinion, based on the work undertaken in the course of the audit, the information given in the Strategic report and the Directors' report for the year ended 30 June 2025 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.

In light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we did not identify any material misstatements in the Strategic report and the Directors' report.

Responsibilities for the financial statements and the audit**Responsibilities of the directors for the financial statements**

As explained more fully in the statement of directors' responsibilities, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view. The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Based on our understanding of the company and industry, we identified that the principal risks of non-compliance with laws and regulations related to Companies Act 2006, and we considered the extent to which non-compliance might have a material effect on the financial statements. We evaluated management's incentives and opportunities for fraudulent manipulation of the financial statements (including the risk of override of controls), and determined that the principal risks were related to posting inappropriate journal entries to increase revenue and the potential for management bias in accounting estimates and key judgements impacting the financial statements such as the valuation of investment property. Audit procedures performed by the engagement team included:

- enquiring with the management of the company and the directors as to any actual or suspected instances of fraud or non-compliance with laws and regulations;
- reviewing the minutes of meetings of the board of directors for matters relevant to the audit;
- testing the disclosures made in the financial statements, as well as in the Directors' report, for compliance with the requirements of the Companies Act 2006;
- for the valuation of investment property, enquiring and inspecting documentation regarding: the choice of valuation model compared to alternative models; any adjustments made to inputs used; the basis for discounts and yield rates applied; we engaged our internal valuation expert to critique and challenge the work performed and assumptions used by the directors to determine fair value; and considering these judgements in light of available independent sources, our understanding of the investment properties and our industry knowledge;
- performing audit procedures to incorporate unpredictability around the nature, timing and extent of our testing;
- identifying and testing journal entries considered to be of higher fraud risk; and
- evaluating the business rationale for any significant or unusual transactions identified as being outside the normal course of business.

There are inherent limitations in the audit procedures described above. We are less likely to become aware of instances of non-compliance with laws and regulations that are not closely related to events and transactions reflected in the financial statements. Also, the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery or intentional misrepresentations, or through collusion.

A further description of our responsibilities for the audit of the financial statements is located on the FRC's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditors' report.

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Other required reporting

Companies Act 2006 exception reporting

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- we have not obtained all the information and explanations we require for our audit; or
- adequate accounting records have not been kept by the company, or returns adequate for our audit have not been received from branches not visited by us; or
- certain disclosures of directors' remuneration specified by law are not made; or
- the financial statements are not in agreement with the accounting records and returns.

We have no exceptions to report arising from this responsibility.

Ian Tait (Senior Statutory Auditor)
for and on behalf of PricewaterhouseCoopers CI LLP
Chartered Accountants and Statutory Auditors
Jersey
5 December 2025

ARK DATA CENTRES LIMITED

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 30 JUNE 2025

	Notes	2025 £	2024 £
Turnover	3	257,640,619	226,537,929
Cost of sales		(221,204,125)	(203,034,797)
Gross profit		<u>36,436,494</u>	<u>23,503,132</u>
Administrative expenses		(32,334,440)	(32,754,041)
Operating profit/(loss)	4	<u>4,102,054</u>	<u>(9,250,909)</u>
Interest receivable and similar income	8	1,935,168	1,903,291
Profit/(loss) before taxation		<u>6,037,222</u>	<u>(7,347,618)</u>
Taxation	9	-	-
Total comprehensive income/(loss) for the financial year		<u><u>6,037,222</u></u>	<u><u>(7,347,618)</u></u>

There were no other comprehensive income or losses during the year.

All amounts are derived from continuing operations.

The notes on pages 19 to 31 form part of these financial statements.

ARK DATA CENTRES LIMITED

BALANCE SHEET

AS AT 30 JUNE 2025

		2025	2024
	Notes	£	£
Fixed assets			
Intangible assets	10	918,105	573,166
Tangible assets	11	6,666,264	8,883,945
Investments	12	400,000	400,000
		<u>7,984,369</u>	<u>9,857,111</u>
Current assets			
Stocks	13	1,775,496	1,384,930
Debtors falling due after more than one year	14	3,601,861	4,021,210
Debtors falling due within one year	14	50,620,521	43,863,873
Cash at bank and in hand		30,610,707	18,008,344
		<u>86,608,585</u>	<u>67,278,357</u>
Creditors: amounts falling due within one year	15	<u>(70,645,995)</u>	<u>(59,225,731)</u>
Net current assets		<u>15,962,590</u>	<u>8,052,626</u>
Net assets		<u>23,946,959</u>	<u>17,909,737</u>
Capital and reserves			
Called up share capital	17	45,988,565	45,988,565
Profit and loss reserves		<u>(22,041,606)</u>	<u>(28,078,828)</u>
Total equity		<u>23,946,959</u>	<u>17,909,737</u>

The notes on pages 19 to 31 form part of these financial statements.

The financial statements on pages 15 to 31 were approved by the board of directors and authorised for issue on 5 December 2025 and are signed on its behalf by:

H T Owen
Director

I S Perryment
Director

Company registration number 05656968

ARK DATA CENTRES LIMITED

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 30 JUNE 2025

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2023	45,988,565	(20,731,210)	25,257.355
Year ended 30 June 2024:			
Total comprehensive loss for the year	-	(7,347,618)	(7,347,618)
Balance at 30 June 2024	45,988,565	(28,078,828)	17,909.737
Year ended 30 June 2025:			
Total comprehensive income for the year	-	6,037,222	6,037,222
Balance at 30 June 2025	45,988,565	(22,041,606)	23,946.959

The notes on pages 19 to 31 form part of these financial statements.

ARK DATA CENTRES LIMITED

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2025

		2025	2024
	Notes	£	£
Cash flows from operating activities			
Cash generated from operations	23	13,210,643	218,454
Income taxes refunded		-	16,246
Net cash inflow from operating activities		13,210,643	234,700
Investing activities			
Purchase of intangible assets		(515,532)	(406,505)
Purchase of tangible fixed assets		(2,016,385)	(2,941,603)
Interest received		425,637	432,469
Dividends received		1,498,000	1,498,000
Net cash used in investing activities		(608,280)	(1,417,639)
Net increase/(decrease) in cash and cash equivalents		12,602,363	(1,182,939)
Cash and cash equivalents at beginning of year		18,008,344	19,191,283
Cash and cash equivalents at end of year		30,610,707	18,008,344

The notes on pages 19 to 31 form part of these financial statements.

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

Company information

Ark Data Centres Limited is a private company limited by shares incorporated in England and Wales. The registered office is Spring Park, Westwells Road, Hawthorn, Corsham, Wiltshire, SN13 9GB.

1.1 Accounting convention

These financial statements have been prepared in compliance with United Kingdom Accounting Standards, including Financial Reporting Standard 102, 'The Financial Reporting Standard applicable in the United Kingdom and the Republic of Ireland ("FRS 102")', and the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

1.2 Going concern

The directors have prepared the financial statements on a going concern basis.

At 30 June 2025 the Company had net assets of £23,946,959 (2024: £17,909,737) and net current assets of £15,962,590 (2024: £8,052,626). The directors have prepared cash flow forecasts which include relevant downside sensitivities and demonstrate that the Company has access to sufficient liquidity to sustain its operations for a period of at least 12 months from the date of approval of the financial statements. The Company also has access to a long-term working capital facility provided by the ultimate parent undertaking (see Note 22). As at 30 June 2025, Ark Data Centres Limited had no outstanding liabilities under this facility. The access to liquidity via its ultimate parent undertaking ensures that the Company will be able to continue to finance its liabilities as they fall due.

1.3 Turnover

Turnover is the total amount receivable by the company for services rendered and charged to clients during the period, excluding VAT.

Turnover is recognised when a right to consideration has been obtained through the performance of contractual terms and conditions. Categories of income are:

Data centre income - includes tenant rental and hosting charges and is recognised when a right to consideration has been obtained through the performance of contractual terms and conditions. Where tenancy agreements include a rent free period or stepped rent arrangement, the total rental income is spread evenly over the term of the contract.

Power income - represents electricity costs rechargeable to tenants, and is recognised in the statement of comprehensive income in the month of use by the tenant.

Fit-out: fees - relates to installation, set up and tenant fit out of data centres, and is recognised in the statement of comprehensive income when the installation has been completed.

Management charges to related entities - management fees charged to related undertakings during the year.

Cost recharges to related entities - costs recharged to related undertakings during the year.

Joint venture recharges - cost recharges to Crown Hosting Data Centres Limited (see Note 12).

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

(Continued)

1.4 Cost of sales

Cost of sales includes two distinctive elements, namely:

- costs directly attributable to the maintenance, security, operation and fit out of the data centres at Spring Park, Cody Park and Meridian Park
- operating lease charges payable to the related undertakings who own the underlying campuses and data centres operated by the Company

All costs are recognised in the period to which they relate, exclusive of VAT.

1.5 Intangible assets

Intangible assets are stated at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Software development	5 years straight line
Customer contracts	5 years straight line

Where factors, such as technological advancement or changes in market price, indicate that residual value or useful life have changed, the residual value, useful life or amortisation rate are amended prospectively to reflect the new circumstances. The assets are reviewed for impairment if the above factors indicate that the carrying amount may be impaired. Costs associated with maintaining computer software are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the company are recognised as intangible assets when the following criteria are met:

- It is technically feasible to complete the software so that it will be available for use.
- Management intends to complete the software and use or sell it.
- There is an ability to use or sell the software.
- It can be demonstrated how the software will generate probable future economic benefits.
- Adequate technical, financial and other resources to complete the development and to use or sell the software are available.
- The expenditure attributable to the software during its development can be reliably measured.

Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

1.6 Tangible assets

Tangible assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Fixtures, fittings and equipment	25% straight line
----------------------------------	-------------------

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.7 Investments

Interests in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss.

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

(Continued)

Entities in which the company has a long term interest and shares control under a contractual arrangement are classified as jointly controlled entities.

1.8 Impairment of tangible and intangible assets

At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.9 Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the stocks to their present location and condition.

Stocks held for distribution at no or nominal consideration are measured at the lower of cost and replacement cost, adjusted where applicable for any loss of service potential.

Work in progress consists of costs incurred in delivering client fit out work, which are carried in work in progress until the work is completed.

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in profit or loss. Reversals of impairment losses are also recognised in the statement of comprehensive income.

1.10 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

(Continued)

1.11 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised as the impact of discounting or the application of the effective interest method is considered immaterial to the financial statements.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in the statement of comprehensive income.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in the statement of comprehensive income.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the company transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

(Continued)

Basic financial liabilities

Basic financial liabilities, including creditors and loans from fellow group companies, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

Derecognition of financial liabilities

Financial liabilities are derecognised when the company's contractual obligations expire or are discharged or cancelled.

1.12 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

1.13 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the profit and loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset when the company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.14 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.15 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1.16 Leases

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

1 Accounting policies

(Continued)

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

1.17 Investment income

Income from the company's investments in limited companies is included in the statement of comprehensive income when, and to the extent that, dividends have been declared and are payable and are included in debtors until they are received.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

No material judgements, estimates or assumptions have been made in the application of the company's accounting policies for the year ended 30 June 2025.

3 Turnover

The total turnover of the company for the year has been derived from its principal activity wholly undertaken in the United Kingdom.

	2025	2024
	£	£
Turnover analysed by class of business		
Data centre income	133,056,309	109,751,577
Power income	66,785,729	70,280,224
Fit-out fees	24,418,526	14,597,133
Management charges to related entities	32,839,483	31,540,546
Cost recharges to related entities	52,306	-
JV recharges	488,266	368,449
	<u>257,640,619</u>	<u>226,537,929</u>

4 Operating profit/(loss)

	2025	2024
	£	£
Operating profit/(loss) for the year is stated after charging:		
Depreciation of owned tangible fixed assets	4,234,066	4,219,709
Amortisation of intangible assets	170,593	-
Operating lease charges	<u>99,698,249</u>	<u>79,377,722</u>

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

5 Auditor's remuneration

	2025	2024
	£	£
Fees payable to the company's auditor and associates:		
For audit services		
Audit of the financial statements of the company	74,323	60,900
	<u> </u>	<u> </u>
For other services		
Audit-related assurance services	27,500	30,000
	<u> </u>	<u> </u>

6 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2025	2024
	Number	Number
Management	16	18
Operations	107	78
Administration	16	11
	<u> </u>	<u> </u>
Total	139	107
	<u> </u>	<u> </u>

Their aggregate remuneration comprised:

	2025	2024
	£	£
Wages and salaries	12,465,149	10,607,073
Social security costs	1,927,664	2,209,403
Pension costs	341,482	281,371
	<u> </u>	<u> </u>
	14,734,295	13,097,847
	<u> </u>	<u> </u>

Of the above costs, £13,355,813 (2024: £12,251,575) are included in administrative expenses, £1,275,506 (2024: £846,272) are included in cost of sales and £102,976 (2024: £Nil) have been capitalised in software development costs.

7 Directors' remuneration

	2025	2024
	£	£
Remuneration for qualifying services	1,746,894	2,037,484
Company pension contributions to defined contribution schemes	25,500	25,186
	<u> </u>	<u> </u>
	1,772,394	2,062,670
	<u> </u>	<u> </u>

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 4 (2024 - 4).

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

7 Directors' remuneration

(Continued)

Remuneration disclosed above include the following amounts paid to the highest paid director:

	2025	2024
	£	£
Remuneration for qualifying services	476,320	662,581
Company pension contributions to defined contribution schemes	5,000	5,000
	<u> </u>	<u> </u>

8 Interest receivable and similar income

	2025	2024
	£	£
Interest on bank deposits	370,789	151,414
Interest receivable from related undertakings (see note 14)	66,379	252,383
Other interest	-	1,494
Dividends from joint ventures	1,498,000	1,498,000
	<u> </u>	<u> </u>
	<u>1,935,168</u>	<u>1,903,291</u>

9 Taxation

The actual charge for the year can be reconciled to the expected charge/(credit) for the year based on the profit or loss and the standard rate of tax as follows:

	2025	2024
	£	£
Profit/(loss) before taxation	6,037,222	(7,347,618)
	<u> </u>	<u> </u>
Expected tax charge/(credit) based on the standard rate of corporation tax in the UK of 25.00% (2024: 25.00%)	1,509,306	(1,836,905)
Tax effect of expenses that are not deductible in determining taxable profit	80,042	124,152
Tax effect of utilisation of tax losses not previously recognised	(1,108,257)	-
Group relief	(625,025)	1,327,114
Permanent capital allowances in excess of depreciation	518,434	760,139
Dividend income	(374,500)	(374,500)
	<u> </u>	<u> </u>
Taxation charge for the year	<u>-</u>	<u>-</u>

No deferred tax has been recognised at either 30 June 2025 or 30 June 2024 in relation to carried forward losses or capital allowances. This is due to the uncertainty and judgement associated with both the estimation of the financial value, as well as uncertainty around the timing of when such assets would be utilised.

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

10 Intangible fixed assets

	Software development £	Customer contracts £	Total £
Cost			
At 1 July 2024	573,166	6,500,000	7,073,166
Additions	515,532	-	515,532
At 30 June 2025	1,088,698	6,500,000	7,588,698
Amortisation and impairment			
At 1 July 2024	-	6,500,000	6,500,000
Amortisation charged for the year	170,593	-	170,593
At 30 June 2025	170,593	6,500,000	6,670,593
Carrying amount			
At 30 June 2025	918,105	-	918,105
At 30 June 2024	573,166	-	573,166

11 Tangible assets

	Fixtures, fittings and equipment £
Cost	
At 1 July 2024	20,537,265
Additions	2,016,385
At 30 June 2025	22,553,650
Depreciation and impairment	
At 1 July 2024	11,653,320
Depreciation charged in the year	4,234,066
At 30 June 2025	15,887,386
Carrying amount	
At 30 June 2025	6,666,264
At 30 June 2024	8,883,945

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

12 Investments

	2025	2024
	£	£
Investments in joint ventures	400,000	400,000

The directors believe that the carrying value of the investments is supported by the underlying assets.

The Company holds 74.9% of the issued share capital of Crown Hosting Data Centres Limited, a company incorporated in England and Wales with the principal activity of the sale of data centre space and the provision of related services. The joint venture is managed jointly through management boards on which other joint venture partners are represented in accordance with their respective interests held in the joint venture.

13 Stocks

	2025	2024
	£	£
Fuel stock	1,241,920	1,025,581
Work in progress	391,143	335,362
Critical spares	142,433	23,987
	<u>1,775,496</u>	<u>1,384,930</u>

14 Debtors

	2025	2024
	£	£
Amounts falling due within one year:		
Trade debtors	32,390,452	27,918,941
Amounts owed by group undertakings	4,429,303	3,997,510
Other debtors	2,542,451	2,750,466
Prepayments	9,642,931	8,910,808
Accrued income	1,615,384	286,148
	<u>50,620,521</u>	<u>43,863,873</u>

	2025	2024
	£	£
Amounts falling due after more than one year:		
Accrued income	<u>3,601,861</u>	<u>4,021,210</u>
Total debtors	<u>54,222,382</u>	<u>47,885,083</u>

Amounts owed by group undertakings are unsecured, have no fixed date of repayment and are repayable on demand. Interest is charged at 5% (2024: 5%) per annum (see note 8).

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

15 Creditors: amounts falling due within one year

	2025	2024
	£	£
Trade creditors	22,309,885	19,368,227
Amounts owed to group undertakings	26,822,188	16,559,109
Taxation and social security	2,214,649	1,798,821
Other creditors	298,868	324,426
Accruals and deferred income	19,000,405	21,175,148
	<u>70,645,995</u>	<u>59,225,731</u>

Amounts owed to group undertakings are unsecured, interest free, have no fixed date of repayment and are repayable on demand

16 Retirement benefit schemes

	2025	2024
	£	£
Defined contribution schemes		
Charge for the year in respect of defined contribution schemes	<u>341,482</u>	<u>281,371</u>

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

Of the above costs, £306,165 (2024: £254,377) are included in administrative expenses, £32,653 (2024: £26,994) are included in cost of sales and £2,664 (2024: £Nil) have been capitalised in software development costs.

At the year end, contributions of £71,507 (2024: £49,836) were outstanding.

17 Share capital

	2025	2024	2025	2024
	Number	Number	£	£
Ordinary share capital				
Issued and fully paid				
Ordinary shares of £1 each	<u>45,988,565</u>	<u>45,988,565</u>	<u>45,988,565</u>	<u>45,988,565</u>

18 Financial commitments, guarantees and contingent liabilities

The assets leased by the Company from related undertakings have been pledged as security against a bank loan held by Ark Estates Holdings Limited, a related undertaking also controlled by Ark Capital Partners I LP Inc. For full details of the bank loan, please refer to the financial statements of Ark Estates Holdings Limited available at Companies House.

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

19 Operating lease commitments

As lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2025	2024
	£	£
Within 1 year	92,207,371	86,125,586
Years 2-5	225,333,468	199,043,232
After 5 years	169,685,556	196,857,349
	<u>487,226,395</u>	<u>482,026,167</u>

As lessor

At the reporting end date the company had contracted with tenants for the following minimum lease payments:

	2025	2024
	£	£
Future amounts receivable under operating leases:		
Within 1 year	128,375,876	116,793,427
Years 2-5	316,194,959	267,344,840
After 5 years	240,968,859	262,977,793
	<u>685,539,694</u>	<u>647,116,060</u>

20 Events after the reporting date

There have been no post balance sheet events requiring disclosure in the notes to the financial statements.

21 Related party transactions

During the year the company charged its joint venture, Crown Hosting Data Centres Limited, £69,222,392 (2024: £64,839,960) for data centre running costs, £423,780 (2024: £363,080) for account management services and £64,486 (2024: £5,369) for sales and marketing activities. Included in trade debtors at the year end is £7,398,742 (2024: £6,126,285) owed by Crown Hosting Data Centres Limited in respect of these charges.

At the year end the company was owed £48,137 (2024: £48,137) by a director. No interest is charged on this loan.

There are no other related party transactions requiring disclosure other than those disclosed in notes 3, 7, 8, 14 and 15 to the financial statements.

ARK DATA CENTRES LIMITED

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2025

22 Ultimate controlling party

The immediate parent undertaking is Ark Group Limited, a company registered in the Isle of Man, and the ultimate parent undertaking is Ark Capital Partners I LP Inc., a limited partnership registered in the Isle of Man. The limited partnership is controlled by its partners.

Ark Group Limited is the parent undertaking of the smallest group of undertakings to consolidate these financial statements at 30 June 2025. The consolidated financial statements of Ark Group Limited are available from its registered office at First Names House, Victoria Road, Douglas, Isle of Man, IM2 4DF.

Ark Capital Partners I LP Inc. is the parent undertaking of the largest group of undertakings to consolidate these financial statements at 30 June 2025. The consolidated financial statements of Ark Capital Partners I LP Inc. are available from its general partner Goshawk GP Limited, First Names House, Victoria Road, Douglas, Isle of Man, IM2 4DF.

23 Cash generated from operations

	2025 £	2024 £
Profit/(loss) for the year after tax	6,037,222	(7,347,618)
Adjustments for:		
Investment income	(1,935,168)	(1,903,291)
Amortisation and impairment of intangible assets	170,593	-
Depreciation and impairment of tangible fixed assets	4,234,066	4,219,709
Movements in working capital:		
(Increase)/decrease in stocks	(390,566)	97,884
Increase in debtors	(6,325,768)	(3,244,514)
Increase in creditors	11,420,264	8,396,284
Cash generated from operations	13,210,643	218,454

24 Analysis of changes in net funds

	1 July 2024 £	Cash flows £	30 June 2025 £
Cash at bank and in hand	18,008,344	12,602,363	30,610,707

This document was delivered using electronic communications and authenticated in accordance with the registrar's rules relating to electronic form, authentication and manner of delivery under section 1072 of the Companies Act 2006.